

# PT Merck Tbk.

## (Formerly PT Merck Indonesia Tbk)

Pharmaceuticals

|                            |                                                                                                                                                                   |
|----------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Head Office                | Jl. T.B. Simatupang No. 8<br>Pasar Rebo, Jakarta 13760<br>Phone (021) 840-0081, 8779-1415, 2856-5600<br>Fax (021) 840-0492, 2856-5601<br>Website: www.merck.co.id |
| Factory                    | Jl. T.B. Simatupang No. 8<br>Pasar Rebo, Jakarta 13760<br>Phone (021) 840-0081, 8779-1415<br>Fax (021) 840-0492                                                   |
| Business<br>Company Status | Industry and Trader Pharmaceuticals<br>PMA                                                                                                                        |

The Company booked net income amounted IDR 118 billion in 2010, decreasing from IDR 146 billion booked in last year.

**Brief History:** Initiated by E. Merck, Darmstadt, Germany, the company was incorporated on 14th October 1970. The setting up of a manufacturing plant for pharmaceutical products in Jakarta in 1972 gave the company a strong base for development in Indonesia. The company started its commercial production in 1974. A basic raw material plant, producing Thiamine Disulfide (vitamin B1), was inaugurated in 1983. Manufacturing, packaging, quality control, and warehousing facilities for the pharmaceutical production were expanded in 1985. Products of the company are mostly for the local market, but since 1987 exports were made to Malaysia, Singapore, Thailand, and Germany. In fulfillment of an obligation to divest 30% of the company's capital to Indonesia investor, the company through the Jakarta Stock Exchange, went public with 1,680,000 shares in July 1981. The company conducted a limited public offering I in May 1999 in order to strengthen its capital structure. This was achieved by settling all long term loans in foreign currency as well as expanding the company's business. In April 1999 there was a global merger between Astra AB and Zeneca Group PLC, as a result of which a new company, Astra Zeneca PLC, was established. Since this new company is represented in Indonesia, hence the whole Astra Division within the company, its employees as well as the marketing business of Astra products, have been wholly absorbed by PT Zeneca Pharma Indonesia at the end of August 1999.

### Summary of Financial Statement

|                                           | (Million Rupiah) |         |         |
|-------------------------------------------|------------------|---------|---------|
|                                           | 2008             | 2009    | 2010    |
| <b>Total Assets</b>                       | 375,064          | 433,971 | 434,768 |
| Current Assets                            | 298,668          | 343,148 | 327,436 |
| of which                                  |                  |         |         |
| Cash and cash equivalents                 | 134,140          | 79,336  | 207,899 |
| Trade receivables                         | 87,182           | 174,481 | 88,209  |
| Inventories                               | 70,422           | 79,843  | 125,252 |
| Non-Current Assets                        | 76,396           | 90,822  | 107,332 |
| of which                                  |                  |         |         |
| Fixed Assets-Net                          | 54,795           | 66,911  | 67,053  |
| Deferred Tax Assets                       | 4,364            | 6,915   | 8,719   |
| Other Assets                              | 5,373            | 1,277   | 1,982   |
| <b>Liabilities</b>                        | 47,741           | 79,787  | 71,752  |
| Current Liabilities                       | 38,420           | 68,109  | 52,579  |
| of which                                  |                  |         |         |
| Trade payables                            | 8,196            | 7,965   | 9,240   |
| Taxes payable                             | 7,439            | 14,254  | 5,417   |
| Non-Current Liabilities                   | 9,320            | 11,678  | 19,173  |
| <b>Minority Interests in Subsidiaries</b> | n.a              | n.a     | n.a     |
| <b>Shareholders' Equity</b>               | 327,324          | 354,184 | 363,017 |
| Paid-up capital                           | 22,400           | 22,400  | 22,400  |
| Paid-up capital                           |                  |         |         |
| in excess of par value                    | 17,562           | 17,562  | 17,562  |
| Revaluation of fixed assets               | n.a              | n.a     | n.a     |
| Retained earnings                         | 287,362          | 314,222 | 323,055 |
| <b>Net Sales</b>                          | 637,134          | 751,403 | 795,689 |
| Cost of Goods Sold                        | 275,656          | 313,771 | 353,717 |
| Gross Profit                              | 361,478          | 437,632 | 441,972 |
| Operating Expenses                        | 221,324          | 236,179 | 288,232 |
| Operating Profit                          | 140,154          | 201,453 | 153,740 |
| Other Income (Expenses)                   | 2,849            | 6,472   | 3,578   |
| Profit before Taxes                       | 143,003          | 207,925 | 157,318 |
| Profit after Taxes                        | 98,620           | 146,700 | 118,794 |
| <b>Per Share Data (Rp)</b>                |                  |         |         |
| Earnings per Share                        | 4,403            | 6,549   | 5,303   |
| Equity per Share                          | 14,613           | 15,812  | 16,206  |
| Dividend per Share                        | 5,350            | n.a     | 4,464   |
| Closing Price                             | 35,500           | 80,000  | 96,500  |
| <b>Financial Ratios</b>                   |                  |         |         |
| PER (x)                                   | 8.06             | 12.22   | 18.20   |
| PBV (x)                                   | 2.43             | 5.06    | 5.95    |
| Dividend Payout (%)                       | 121.52           | n.a     | 84.17   |
| Dividend Yield (%)                        | 15.07            | n.a     | 4.63    |
| Current Ratio (x)                         | 7.77             | 5.04    | 6.23    |
| Debt to Equity (x)                        | 0.15             | 0.23    | 0.20    |
| Leverage Ratio (x)                        | 0.13             | 0.18    | 0.17    |
| Gross Profit Margin (x)                   | 0.57             | 0.58    | 0.56    |
| Operating Profit Margin (x)               | 0.22             | 0.27    | 0.19    |
| Net Profit Margin (x)                     | 0.15             | 0.20    | 0.15    |
| Inventory Turnover (x)                    | 3.91             | 3.93    | 2.82    |
| Total Assets Turnover (x)                 | 1.70             | 1.73    | 1.83    |
| ROI (%)                                   | 26.29            | 33.80   | 27.32   |
| ROE (%)                                   | 30.13            | 41.42   | 32.72   |

PER = 17,87x ; PBV = 7,59x (June 2011)

Financial Year: December 31

Public Accountant: KPMG Siddharta Siddharta & Widjaja

|                             | (million rupiah) |         |
|-----------------------------|------------------|---------|
|                             | 2011             | 2010    |
| <b>Total Assets</b>         | 445,344          | 475,000 |
| <b>Liabilities</b>          | 91,270           | 87,000  |
| <b>Shareholders' Equity</b> | 354,074          | 388,000 |
| <b>Net Sales</b>            | 476,690          | 399,000 |
| <b>Profit after Taxes</b>   | 91,051           | 64,088  |
| <b>ROI (%)</b>              | 20.45            | 13.49   |
| <b>ROE (%)</b>              | 25.72            | 16.52   |
| <b>in June</b>              |                  |         |

### Shareholders

|                             |        |
|-----------------------------|--------|
| Merck Holding GmbH, Germany | 74.00% |
| Public                      | 26.00% |

### Board of Commissioners

*President Commissioner* Klaus-Reinhard Bischoff  
*Commissioners* Timothy Kneen, Parulian Simanjuntak

### Board of Directors

*President Director* Markus Bamberger  
*Directors* Bambang Nurcahyo, Dra. Elly Megawati Asali, Sumonta Achachotipong, Dr. Pierre Charbonnier, Nils Kristian Moen, Evie Yulin

*Number of Employees* 860

| No | Type of Listing | Listing Date | Trading Date | Number of Shares per Listing | Total Listed Shares |
|----|-----------------|--------------|--------------|------------------------------|---------------------|
| 1  | First Issue     | 23-Jul-81    | 23-Jul-81    | 1,680,000                    | 1,680,000           |
| 2  | Right Issue     | 19-May-99    | 19-May-99    | 16,800,000                   | 18,480,000          |
| 3  | Company Listing | 22-Dec-00    | 22-Dec-00    | 3,920,000                    | 22,400,000          |

### Underwriters

PT ASEAM Indonesia, PT Danareksa Sekuritas, PT Multi Finance Corporation

### Stock Price, Frequency, Trading Days, Number and Value of Shares Traded and Market Capitalization

| Month        | Stock Price |          |            | Shares Traded            |                    | Frequency | Trading Day | Listed Shares | Market Capitalization |
|--------------|-------------|----------|------------|--------------------------|--------------------|-----------|-------------|---------------|-----------------------|
|              | High (Rp)   | Low (Rp) | Close (Rp) | Volume (Thousand Shares) | Value (Rp Million) |           |             |               |                       |
| January-10   | 75,000      | 71,000   | 75,000     | 138.00                   | 3,429.00           | 14        | 3           | 22,400,000    | 1,680,000.00          |
| February-10  | 75,000      | 75,000   | 75,000     | 1.00                     | 80.00              | 2         | 2           | 22,400,000    | 1,680,000.00          |
| March-10     | 75,000      | 72,000   | 74,000     | 9.00                     | 624.00             | 15        | 7           | 22,400,000    | 1,657,600.00          |
| April-10     | 77,000      | 73,000   | 77,000     | 42.00                    | 2,410.00           | 5         | 5           | 22,400,000    | 1,724,800.00          |
| May-10       | 75,000      | 69,000   | 70,000     | 8.00                     | 581.00             | 15        | 10          | 22,400,000    | 1,568,000.00          |
| June-10      | 72,000      | 72,000   | 72,000     | 1.00                     | 72.00              | 2         | 2           | 22,400,000    | 1,612,800.00          |
| July-10      | 73,000      | 72,500   | 72,500     | 2.00                     | 109.00             | 3         | 3           | 22,400,000    | 1,624,000.00          |
| August-10    | 82,000      | 73,000   | 82,000     | 2.00                     | 118.00             | 3         | 3           | 22,400,000    | 1,836,800.00          |
| September-10 | 85,000      | 82,000   | 85,000     | 5.00                     | 420.00             | 10        | 5           | 22,400,000    | 1,904,000.00          |
| October-10   | 99,000      | 84,000   | 99,000     | 215.00                   | 18,439.00          | 56        | 11          | 22,400,000    | 2,217,600.00          |
| November-10  | 97,000      | 95,000   | 97,000     | 5.00                     | 481.00             | 7         | 5           | 22,400,000    | 2,172,800.00          |
| December-10  | 97,000      | 93,000   | 96,500     | 14.00                    | 1,141.00           | 8         | 5           | 22,400,000    | 2,161,600.00          |
| January-11   | 95,000      | 90,000   | 90,000     | 21.00                    | 1,929.00           | 26        | 11          | 22,400,000    | 2,105,600.00          |
| February-11  | 0           | 0        | 94,000     | 0.00                     | 0.00               | 0         | 0           | 22,400,000    | 2,105,600.00          |
| March-11     | 0           | 0        | 94,000     | 0.00                     | 0.00               | 0         | 0           | 22,400,000    | 2,105,600.00          |
| April-11     | 100,500     | 94,000   | 100,500    | 36.00                    | 3,525.00           | 40        | 11          | 22,400,000    | 2,251,200.00          |
| May-11       | 101,000     | 99,500   | 101,000    | 12.00                    | 1,154.00           | 16        | 10          | 22,400,000    | 2,262,400.00          |
| June-11      | 120,000     | 100,500  | 120,000    | 20.00                    | 2,229.00           | 30        | 12          | 22,400,000    | 2,688,000.00          |

### Stock Price and Traded Chart

